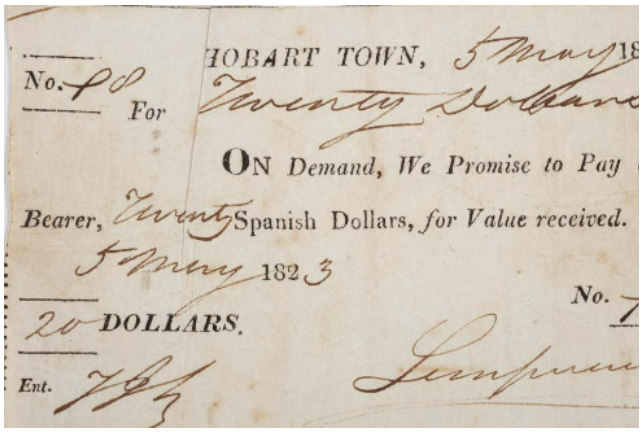
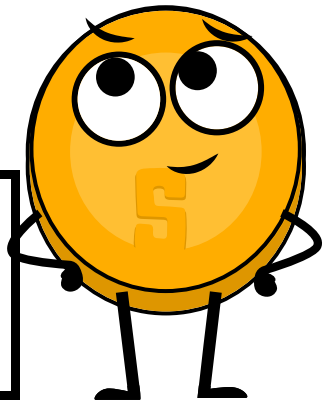
However, as you *begin to use metal coins more frequently*, you encounter some drawbacks. They can be heavy and inconvenient to carry in large transactions, and you notice that some people are taking advantage of the system by melting down the coins and creating new ones by mixing them with cheaper metals, which causes prices to rise and undermines trust in the system.

In an effort to address these issues, you and your community start to use paper receipts as a form of money. These paper receipts, which have their origins in ancient China, are a convenient and easily exchangeable form of currency. They are backed by gold and other valuable metals, and can be converted into these metals during the seventeenth through the nineteenth century. This allows you to have a more portable and easily transferable form of money, while still maintaining the value and security of precious metals.


HOBART TOWN, 5 May 18
No. 90 For Twenty Dollars
ON Demand, We Promise to Pay
Bearer, Twenty Spanish Dollars, for Value received.
5 May 1823
No.
20 DOLLARS.
Ent.

2.3 Transition from Sound Money to Unsound Money

What happens when you really try to put paper money doctrine into practice? Find out in the fourth episode of "The History of Paper Money".



Fast forward to the 17th century in Sweden. Now you are completely dependent on banks to store your valuable assets. However, you start to notice something fishy going on with these bankers. It seems they are issuing more paper receipts than they have gold in storage, allowing them to create more money than they have assets to back it up. This sneaky practice allows the bankers to profit from the difference between the value of the paper receipts and the value of the gold they are holding for their customers.